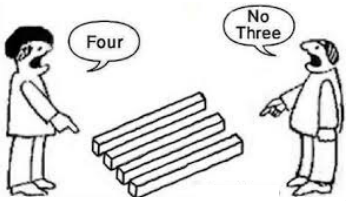
decisions to be implemented relatively quickly. As a group gets larger, it becomes more difficult to reach an agreement and for decisions to be implemented effectively.

• Imagine that you have a field full of ripe corn that needs to be harvested. You need some help, so you approach your neighbor, Raquel, and offer her a deal: if she helps you harvest the corn, you will give her a 10 kg stone in exchange. Raquel agrees, and for the next day, she works alongside you in the fields, helping to gather the corn and bring it in. At the end of the day, you both shake hands and instead of physically handing over the stone, you simply show her that her payment (the Rai stone) is in your backyard.

• From that point on, *you both agree* that the stone now belongs to Raquel. This type of **transaction**, where no currency actually is handed from one individual to the other as a form of payment, but instead a *physical object is used as a* ***symbol of value***, is common on Yap Island and has been used for centuries as a form of currency.

• Five years later, you decide to try and claim the Rai stone as your own. You present evidence to the community that the stone has been passed down through your family for generations, and that you are the rightful owner.

• However, Raquel remembers the agreement that you both made and provides evidence by bringing witnesses of the exchange to give a statement. She argues that the stone rightfully belongs to her, as it was given to her in exchange for her help with the harvest.



• Some members of the community might agree with your claim, citing the tradition and history of your family's ownership of the stone. However, others might side with Raquel, pointing to the agreement that was made and the fact that the stone has been in her possession (figuratively speaking) for five years without any objections from other members of the community. Factors that might be considered include the history and tradition of ownership, the terms of the agreement between you and Raquel, and any relevant evidence or arguments. Not a very solid solution, is it?

So then, how can thousands of strangers all agree on one truth without anyone having the final say? This is something that has puzzled people for a long time, and it's an important question to consider. It turns out that the internet has helped us find a solution to this problem. The solution is called the **blockchain**.

4.3.2 Let's Swap Trust for Rules

Imagine you and your friends are in a group chat where you can buy and sell things with each other. Every time a purchase is made, it's recorded in a shared document for everyone to see and each person's balance is updated. This chat uses a digital ledger to keep track of all the transactions that have happened. The ledger is like a record book that everyone can see.